

opportunities elsewhere—like with stocks or true real estate investing—in addition to building even larger cash savings. Betting on appreciation is not a great way to get your money back.

LESS IS MORE

We still haven't answered that initial question: *Is buying a home a good investment?* The \$35 trillion housing market is overwhelmed with the same language: *This home is a great investment, a good starter home that has huge potential, it's such a steal!* This message is reinforced in countless ways culturally and socially. As a result, millions of people have more wealth in their home equity than in all other “investments” combined.

Though the rent-versus-buy case study is an effective way to demonstrate the pros and cons of buying a house, it's not the be-all and end-all. It's tempting to look at these graphs and conclude that because buying a home destroys less wealth than renting over a long period of time, buying is the better long-term investment.

To that, we say: Look at the graphs again. What do you notice about the left-side axis of that net worth graph?

All. Those. Numbers. Are. Negative.

Buying a home does not create wealth (except in a few extreme cases, which we'll touch on later). In fact, buying a home destroys wealth. Any type of housing destroys wealth. Whether it's a rent check to your landlord or a mortgage payment to your lender, that's money out of your pocket and into the pocket of someone else.

Is buying a home a good investment? Trick question. Buying a home is not an investment. It's one cost among many in your life—it's the cost to put a roof over your head. Are your groceries a good investment? They may be saving you more money than buying all-you-can-eat sushi every night, but your pot of homemade chili is not putting money in your pocket. Unfortunately.

If you still don't believe us, let's put it this way: At best, buying a home under the impression that it's an investment could leave you in a slightly better financial position versus renting over the long term. However, at worst, it could result in hundreds of thousands of wasted dollars, and even